The second paper, ‘Issues Which Need to Be Addressed’, consisted of eleven questions to be considered while formulating the Tata Plan. They were fundamental in nature and suggestive of what Ratan thought was necessary to strengthen the group. The salience of this paper was to discuss the desirability of the Tatas being transformed into a ‘unified strong group’ in the next five to ten years. Ratan recommended a proper discourse on the advantages that would accrue to the group if it remained united and elaborated on some of them.

As one who had foreseen the dismantling of the tight controls on the Indian economy, Ratan desired the formulation of strategic plans to deal with the economic and political environment in the country and catch the winds of changes in economic policies. In this context, the advisability of the ‘amalgamation’ of companies engaged in related businesses to ‘provide them with greater operational and market strength’ was emphasized.

Another aspect that he said needed to be addressed was the future of companies that were inherently weak. Ratan questioned the prudence of allowing weaker companies to ‘indefinitely draw on managerial and financial resources’ of the group and prescribed the need for a ‘time-frame’ for them to reach ‘acceptable performance’ parameters, failing which they should be shut down.

Another highlight was the necessity of target assignment. In the absence of targets, there would neither be motivation nor the urge to perform. Ratan emphasized the need for companies to aim at achieving ‘predetermined objectives in terms of market share’. Fixing ‘acceptable norms and guidelines for earnings, return on investment, earnings per share, etc., for each of the operating companies’ were necessary parts of the change he prescribed.

Expansion of group activities was also a priority for Ratan. He recommended that the companies should be dynamic in their approach. In view of the customers’ changing demands, it was important to expand into new areas of business. This led to another very important part of his recommendation—the need to formulate a ‘foreign operations plan based on opportunities in specified countries’.

Besides, he called for a larger role for both Tata Sons and TIL in the supervision and control of Tata companies. This included the creation of a ‘more formal structure of the board with working committees in the project,